The Government of Bombay apparently did nothing up to May 1865. The Governor of Bombay, Sir Bartle Frere, was protecting the operations of the bank from scrutiny by the Government of India. From January 1863, till the imminent collapse of the bank at the end of 1866, the Government of Bombay was involved in lengthy correspondence on the subject of the terms of the agreement between the Bank of Bombay and itself concerning the agency of currency issue and the Treasury business conducted by the bank.[20] Later evidence showed that Frere had allowed the bank to 'gallop to its ruin' by willfully shielding the bank from official and public scrutiny. Bagchi observes, 'The policy of forbearance is much too mild a phrase by which to describe Frere's admitted obtuseness and his obstructive attitude towards the Government of India'[21]

In January 1867, the capital of the bank was reduced from ₹2 crores to ₹1 crore and the nominal value of each share was reduced from ₹1,000 to ₹500. But the share could only be sold at ₹250 in the market showing a lack of public confidence in the official estimates of the bank's capital. In February there was a severe run on the bank which was allayed by the assurance from the government that the bank would be supported but not before deposits had declined by more than ₹1 crore.

In March 1867, George Dickson, the Secretary of the Bank of Bengal, on behalf of its Directors put forward his now famous proposal for amalgamation of the three Presidency Banks as one way of salvaging the Bank of Bombay. This received a favourable response from the Directors of the Bank of Bombay but the merchants of Bombay and Madras could not get themselves to trust the control of banking from Calcutta and the proposals fell through. However, one side-effect of this failure was that the bank of Bengal established an agency in Bombay on a more or less permanent footing.[22]

By August 1867 the writing was on the wall. The Directors estimated the loss of capital to be ₹1.5 crores. At a special meeting on January 13, 1868, it was resolved to wind up the bank voluntarily and a New Bank of Bombay opened the next day. The government left with the old bank ₹25 lakhs of its balances to enable private depositors to be paid in full, and started the new bank with ₹25 lakhs, the new bank accepting the liability for the whole ₹50 lakhs.[23]